

When why you bought is no longer true.
Sell the stock immediately.
Irrespective of the price.

“Cut your weeds and water your flowers”

- Peter Lynch

If the reason why you bought is no longer true, cut the losses and sell it. Even if at a loss. We only will make money in 30-40% of our investments, lose money in 30% of our investments and just get the investment back in 30% of the portfolio. This is how it works for even most sophisticated investors. So no harm in booking losses.

This is a very famous quote by Peter Lynch, a well-known investor.

- o Cut the companies that are not performing well because they are weeds in your portfolio.
 - **Remove** those companies which are constantly making **losses** in your portfolio
 - They are likely to be poor quality.
- o Companies that are performing well, water them and hold them in your portfolio.
 - **Keep** those companies that are **growing** constantly in your portfolio. Do not sell companies where you are making profit.
 - Let winners become really big winners. That is how you grow your wealth. Don't cut your winners.

